

IKEA Effect

What is it?

People value things more when they have helped create or customize them.

History

Identified through behavioral economics research in **2011**, where studies showed that people overvalue products they assemble themselves, even if the final quality is lower than ready-made items.

The Psychology Behind It

- Effort creates emotional attachment
- Users perceive ownership through contribution
- People defend and justify what they helped build
- Customization increases satisfaction and connection

Why It Matters

- Can lead to overcomplicated customization options
- Risk of building features users don't actually need or benefit from

How to Apply It

- Encourage personalization (themes, profiles, layout choices)
- Highlight user contributions (badges, status, recognition, rewards)
- Enable community creation and shared inspiration spaces

Theory in Action

- Spotify's personalized playlists like "Made For You" increase emotional ownership
- Nike By You allows custom shoe design which strengthens personal connection

Final Thought

Letting users co-create elevates perceived value.

When they build it, they believe in it more — and stay more loyal.